

redemptions came through steadily. Also, by allowing and encouraging all investors, old and new, to exit at a high watermark, it made me feel that I had done right by all of them. After this point, I relaxed and returned to my former investment style.



In selecting emerging market equities, Taylor looks for three essential characteristics:

1. Favorable macro outlook—There are two key ways in which Taylor’s macro assessment will influence the portfolio. First, Taylor will concentrate longs in countries with the most positive fundamentals. Second, the global macro outlook can influence the total portfolio net exposure. For example, in late 2008 to early 2009, the very negative global macro fundamentals kept net exposure significantly lower than it would have been based solely on the individual company fundamentals.

2. Supportive secular trend—Taylor looks for situations in which there is a strong fundamentally based secular trend that supports the trade. For example, the strong trend in increasing Russian mobile phone usage in the early 2000s was a key consideration that prompted Taylor to place a large and very profitable position in companies in this sector. As another example, Taylor’s expectation that Apple’s global market share of its products will trend steadily higher in coming years was the dominant reason why Apple was his largest holding at the time of this interview (April 2011).

3. Good company—Taylor looks for companies with attractive growth prospects priced at reasonable values relative to future expected earnings. He avoids what he calls “boring” companies (typically low-beta stocks) regardless of whether they are good values.

Investors often miss the best stocks because they can’t bring themselves to buy a stock that has already gone up a lot. What matters is not how much a stock has gone up, but rather how well a stock is priced relative to its *future* prospects. Taylor’s largest holding at the time of our interview, Apple, had already experienced a very large price advance—and indeed, it was the magnitude of this prior rise that kept many investors from buying the stock, despite its excellent fundamentals. As Taylor viewed it, however,